

1.6 PROPERTY RIGHTS

MARKING SCHEME

1988/AL/I/23 B	1994/AL/I/10 B	1995/AL/I/16 A	2000/AL/I/28 A	2011/AL/I/02 C (51%)
1990/AL/I/29 D	1994/AL/I/18 C	1997/AL/I/12 D	2004/AL/I/26 C (78%)	2011/AL/I/25 C (56%)
1992/AL/I/24 C	1994/AL/I/26 D	1997/AL/I/19 A	2010/AL/I/20 D	2016/DSE/I/05 C (88%)
2019/DSE/I/01 C	2023/DSE/I/03 B	2024/DSE/I/04 D		

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1993/AL/I/8

At the time of auction, the future is not certain. Events may happen which would affect the value of the bid. If the bid is transferable, a bid winner may transfer his rights to another operator if adverse events happen that are particularly harmful to him. Therefore, bidders are willing to offer higher bids in the case where the bid is transferable.

Even if no unexpected events were to follow, the bids may still be higher with transferable rights because the bidders must be aware at the time of the bidding that their decisions might be mistakes, given positive information costs.

2004/AL/I/7(b)

Yes, there are, property rights to the deer in the wild are delineated by the know-how or special skills of the less-than-10-percent superior hunters. This is just like a strong man occupying a piece of land without legal assignment will have an implicit claim to the land if no competitor can take it away or infringe upon his use rights.

2013/DSE/II/2(a)

Private property rights refer to the exclusive right to use, the exclusive right to receive income from, and the right to transfer a property owned by an individual. (3)

The private property rights over the flats under the scheme are weakened as the flat-owners' right of transferring their flats to non-residents is confined. (1)